

## M/s Sarasth Propbuild Pvt. Ltd. v. Executive Engineer, Electricity and 4 Others

Allahabad High Court · Division Bench · 12 December 2023 · 2023:AHC:235349-DB · Writ - C No. 27328 of 2023 · **Writ disposed; on deposit of 40% of the amount statutorily required before a Clause 6.5 complaint is considered, that complaint to be decided within two months; the 50% figure corrected to 50% of Rs 2,47,75,915; current bills to continue; no coercive action for two months or until that decision.**

### HEADNOTE

A builder's challenge to a reduced consumption bill of Rs 2,47,75,915 and to recovery on a certificate dated 7 November 2022 is not an occasion for the writ court to recompute the demand. The consumer's case, in this writ and in two earlier writs, was that the bill was erroneous and should be corrected on a complaint under Clause 6.5 of the U.P. Electricity Supply Code, 2005. An earlier order had recorded a deposit of Rs 2,00,59,590 before that complaint would be considered. The department said every question about the working of connection no. 3554 would be examined on the Clause 6.5 application, and that the complaint would be considered on a deposit of 50% of Rs 2,47,75,915. Because about Rs 25 lakh had been deposited after the order of 24 February 2023, the Court reduced the deposit from 50% to 40% of the amount statutorily required before the complaint can be considered, directed the application to be decided within two months in accordance with law, required current bills to be paid, and stayed coercive action for two months or until that decision. A correction made part of the order deleted the description of the 50% base as the amount payable under Clause 6.5(b)(ii) by a communication dated 26 June 2023, and substituted Rs 2,47,75,915. The Court did not decide the quantum.

### FACTUAL SUMMARY

M/s Sarasth Propbuild Pvt. Ltd. took temporary connection no. 3554 of 45 KVA on 20 June 2016, enhanced to 300 KVA on 2 June 2017, for building work. After buyers were put in possession, a bill of Rs 3,91,07,978 received on 4 June 2019 was reduced to Rs 2,91,91,336 on 26 June 2020 and then, on the department's readings, to Rs 2,47,75,915. Recovery followed on a certificate dated 7 November 2022.

The company had filed Writ-C No. 8462 of 2021 on a bill received on 31 December 2019, and Writ-C No. 4797 of 2023 against the reduced demand and the certificate, seeking to apply under Clause 6.5 of the U.P. Electricity Supply Code, 2005. The order of 24 February 2023 in the second writ required a deposit of Rs 2,00,59,590 before that application would be considered. This petition challenges that condition. The company disputed a bill dated 26 June 2023 for the whole property, which did not deduct charges paid by 263 flat-holders, and a multiplication by six of 85,237 units recorded from 1 January 2019 to 1 July 2019.

### HOLDING-UNITS

#### HOLDING-UNIT · UP-2005::6.5

disputed consumption bill left to a Clause 6.5 complaint on a reduced pre-deposit

#### QUESTION

Will the writ court recompute a reduced consumption bill and the recovery founded on it, where the consumer seeks correction under Clause 6.5 and the licensee will consider that complaint on a pre-deposit?

#### HOLDING

No. The petition was disposed of without deciding the bill. The department submitted that every question raised about metered connection no. 3554 would be considered when the Clause 6.5 application was decided, and that the complaint would be considered if the petitioner deposited 50% of Rs 2,47,75,915. The Court recorded that the department had earlier agreed to examine the application after a deposit of 50% of that sum and, as further relief, directed that if the petitioner deposits 40% of the amount which is to be statutorily deposited before the complaint can be considered, the application shall be considered within two months in accordance with law. The reduction from 50% to 40% was made because about Rs 25 lakh had been deposited after the order dated 24 February 2023. Current bills are to be paid while the complaint is pending.

No coercive action is to be taken for two months, or until the Clause 6.5 decision. By a correction dated 19 December 2023, made part of the order, the words in paragraph 5 'the amount which was payable under Clause 6.5 b(ii) by the communicated dated 26.06.2023' were replaced by 'Rs 2,47,75,915', and the words in paragraph 6 'the amount which was to be deposited under Clause 6.5' were replaced by the same figure.

¶ 3-6, 8-10

#### QUALIFIER

The operative direction remains 40% of 'the amount which is to be statutorily deposited before the complaint could be considered'. The correction fixed the 50% base at Rs 2,47,75,915; it did not rewrite the 40% direction as 40% of that figure. The Court treated the change as a reduction of the deposit from 50% to 40%.

**FLAG** The source joins listing orders of 12.09.2023 (Saumitra Dayal Singh and Rajendra Kumar-IV, JJ.), 18.10.2023 and 08.11.2023 (Siddhartha Varma and Manoj Bajaj, JJ.) and 21.11.2023 (Siddhartha Varma and Shekhar B. Saraf, JJ.) with the disposal of 12.12.2023 (neutral citation 2023:AHC:235349-DB) and the correction of 19.12.2023. Paragraph 7 is unused; the disposal runs 1-6 and 8-10. The 21.11.2023 order had stayed coercive action if a further Rs 50,00,000 was paid; the final order states its own condition. Paragraph 3 dates the reduction to Rs 2,91,91,336 as 26.06.2020; the 21.11.2023 order refers to a bill dated 26.6.2023 at page 84. On 18.10.2023 department counsel called the impugned order one dated 15.06.2023 based on a bill; the disposal treats the grievance as the deposit required by the order of 24.02.2023 in Writ-C No. 4797 of 2023. No precedent is cited. The correction deleted the only reference to Clause 6.5(b) (ii); that sub-clause is not given its own holding.

#### PRINCIPLE TAGS

**clause-6.5-statutory-remedy-disputed-bill** The dispute over the reduced bill of Rs 2,47,75,915 on connection no. 3554, and over the recovery certificate dated 07.11.2022, was left to a complaint under Clause 6.5 rather than decided in the writ. ¶ 3-6

**clause-6.5-alternate-remedy** The writ was disposed of on the department's statement that every question about the bill would be considered on the Clause 6.5 application, once the directed deposit was made. ¶ 5-6, 10

**bill-correction-clause-6.5** As in Writ-C Nos. 8462 of 2021 and 4797 of 2023, the company sought correction of an erroneous bill under Clause 6.5. The Court directed that application to be considered within two months if 40% of the statutory pre-deposit is paid. ¶ 3, 6

**clause-6.5-pending-representation-to-be-decided** On the 40% deposit, the Clause 6.5 application is to be considered within two months in accordance with law, current bills continuing, with no coercive action for that period or until the decision. ¶ 6, 8-9

#### NOT DECIDED — NEGATIVE AUTHORITY

**NOT DECIDED — CORRECTNESS AND QUANTUM OF THE DEMAND REDUCED TO RS 2,47,75,915, INCLUDING MULTIPLICATION BY SIX OF 85,237 UNITS FOR 1 JANUARY 2019 TO 1 JULY 2019 AND DEDUCTION OF CHARGES PAID BY 263 FLAT-HOLDERS FROM THE PRIMARY METER**

Raised on 8 and 21 November 2023 and covered by the department's statement that every such question would be considered on the Clause 6.5 application. ¶ 4-6

**NOT DECIDED — VALIDITY OF THE RECOVERY CERTIFICATE DATED 7 NOVEMBER 2022**

Coercive action was stayed. The certificate was neither quashed nor upheld. ¶ 3, 9-10

**NOT DECIDED — WHAT CLAUSE 6.5(B)(II) REQUIRES AS THE DEPOSIT FOR ENTERTAINING A COMPLAINT**

Uncorrected paragraph 5 described the sum as the amount payable under Clause 6.5(b)(ii) by the communication dated 26.06.2023. The correction of 19.12.2023 deleted that description and substituted Rs 2,47,75,915. The sub-clause was not construed. ¶ 5